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DeFi DEEP DIVE

DeFi can be loosely broken into sectors based on the functionality type of the dApp. Many dApps could fit into multiple categories, so we attempt to place them into the most relevant category. We examine DeFi platforms in the taxonomy of lending/credit facilities, DEXes, derivatives, and tokenization.¹ We mainly focus on the Ethereum network due to its popularity, but DeFi innovations are occurring on many blockchains including Stellar and EOS.² Polkadot³ is another platform that employs a type of proof-of-stake consensus.

CREDIT/LENDING

MakerDAO

MakerDAO⁴ (DAO is a *decentralized autonomous organization*) is often considered an exemplar of DeFi. For a series of